

# Macro-Economic Analysis

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# Macro-Economic Analysis

## Intro to Macroeconomics and why it Matters

First lets identify the difference between macroeconomics and microeconomics.

- **Microeconomics** studies the behaviour of individual economic units like households, firms, or specific markets. It is more narrow, looking at specific industries, goods or decisions
- **Macroeconomics** studies the economy, focusing on aggregate variables and national/global trends. This is broader and looks at the bigger picture of economic performance.

## Key Macroeconomic Indicators

### *GDP Growth*

- Measures the total value of all goods and services produced in an economy
  - Strong GDP growth = healthy economy, higher corporate earnings, risk-on environment
  - Weak GDP growth = recession risk, risk-off environment

Pros:

- A broad, comprehensive measure of economic health, easy to compare across countries.
- Useful for long-term trend analysis.

Cons:

- Lagging indicator, data is quarterly and heavily revised.
- Doesn't show real-time turning points.

### *PMI (Purchasing Manager's Index)*

- Measures business sentiment in manufacturing and services. The threshold is:
  - Above 50 = expansion
  - Below 50 = contraction.

Pros:

- Leading indicator and reacts quickly to changes in business conditions
- Forward looking, useful for spotting growth turning points

Cons:

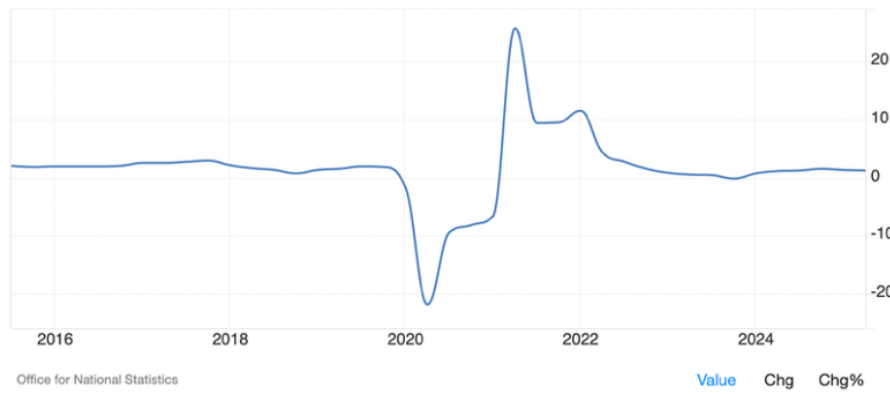


Figure 1: UK GDP Growth Rate 0.3% as of Q2 2025

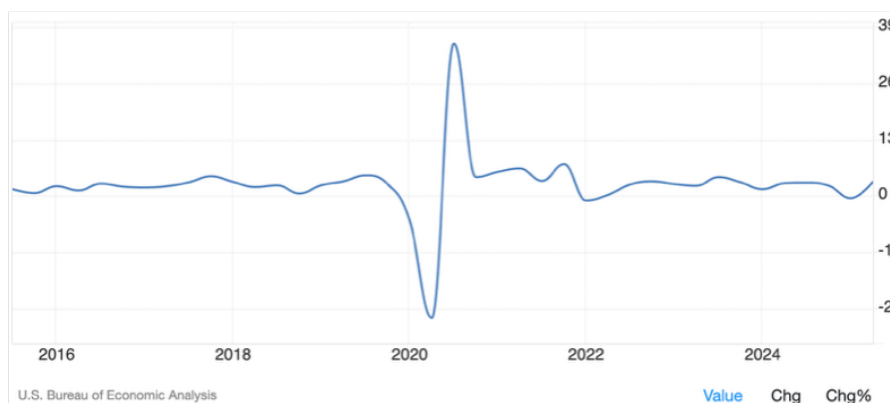


Figure 2: US GDP Growth Rate 3.3% as of Q2 2025

- Based on surveys, this can be influenced by sentiment rather than actual data, not always an incentive to be honest
- Sector-specific, manufacturing may not accurately reflect entire economies (at least not all of them)

### *Inflation (CPI/Core CPI)*

- The changes in prices for goods and services in a given time frame (usually present to next year). The consumer price index measures the change in price for a broad basket of goods and services. Core CPI excludes the volatile items to better understand underlying inflation trends and pressures using a more stable measure.

### **Tariffs & CPI Impact:**

- Recent tariffs on imported goods have pushed up headline CPI as businesses pass higher costs to consumers. However, these effects are **transitory**, meaning once trade flows adjust or tariffs stabilise, prices stop rising at the same pace. Because of this, the **Fed is unlikely to overreact** to a temporary spike in the CPI. Instead, they will focus on **core inflation**, which reflects more persistent underlying pressures.

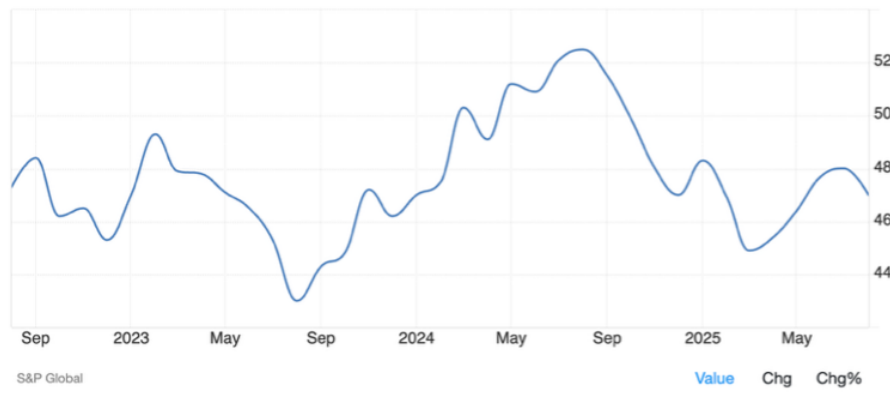


Figure 3: UK PMI at 47 as of August 2025

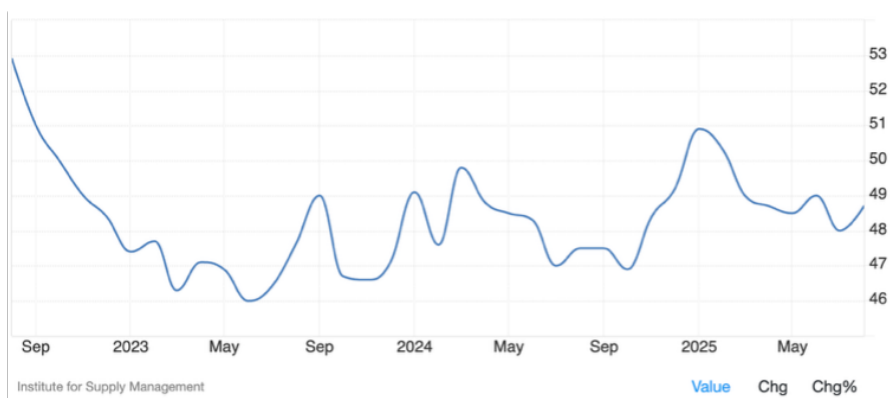


Figure 4: US PMI at 48.7 as of August 2025

### ***Unemployment Rate:***

- Measures the percentage of people actively seeking work but unemployed.
  - High unemployment signals economic weakness; falling unemployment signals growth.

Pros:

- Direct measure of labor market health → strong link to consumer spending.

Cons:

- Lagging indicator, unemployment usually rises *after* a downturn has begun.
- Doesn't capture underemployment or people who stop looking for work.

### ***Yield Curve (e.g., 2-Year vs 10-Year Treasury Spread)***

- The yield curve plots interest rates on government bonds of different maturities.

Usually, long-term bond yield > short-term bond yield upward sloping curve. The idea is if you loan your money out longer, you are effectively taking higher risk so must be better rewarded.

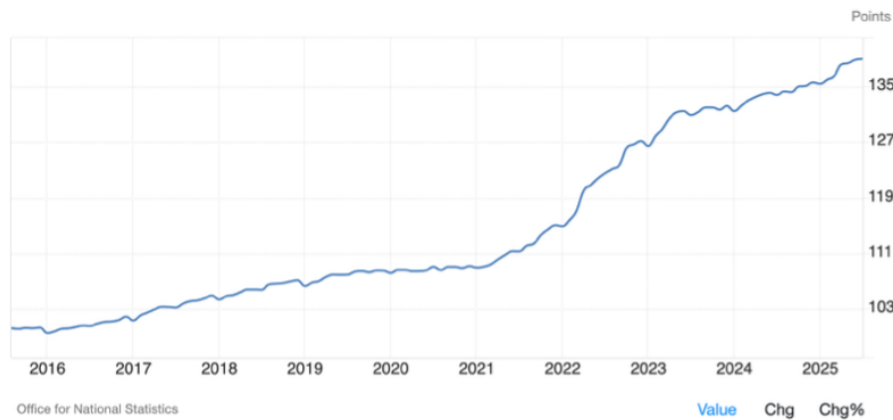


Figure 5: **UK CPI 1.39% as of July 2025**

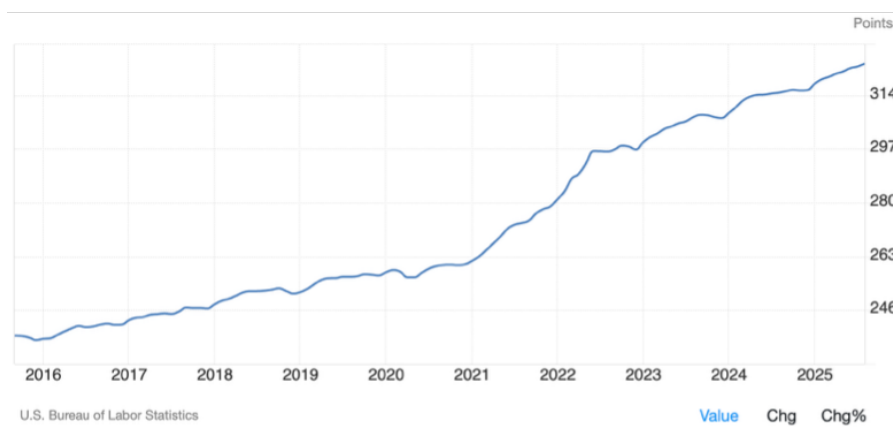


Figure 6: **US CPI 3.24% as of August 2025**

- When short-term rates rise above long-term rates (inversion), it signals that investors expect slower growth or a recession ahead
- This can be because of Fed hiking shorts to fight inflation. Or investors expect these hikes to slow the economy demand for long-term bonds rises long-term yield falls

Pros:

- Historically one of the most reliable recession predictors.
- Forward-looking, often flashes warning signals well in advance.

Cons:

- Inversions can last for months/years before a recession timing is uncertain.
- Can be distorted by central bank interventions.
- Inversions can persist for long periods which creates false alarms

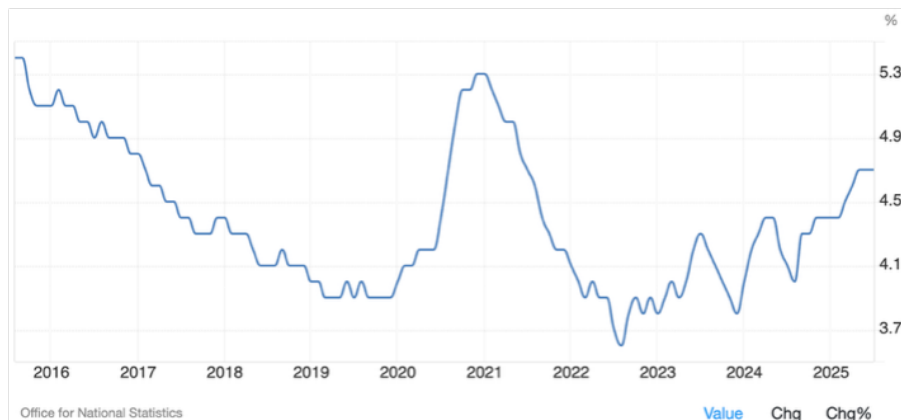


Figure 7: UK Unemployment Rate 4.7% as of July 2025

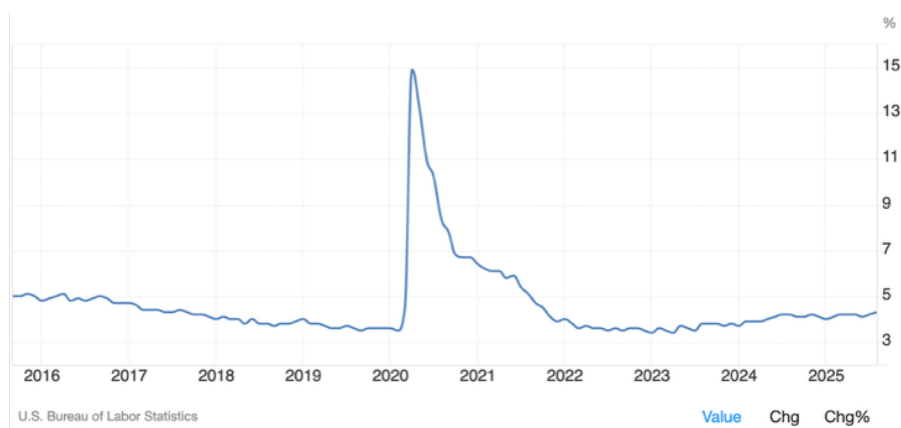


Figure 8: United States Unemployment rate 4.3% as of August 2025

The yield curve inversion has preceded every US recession in the past 50 years.

Typically, recessions occur **6–18 months after the initial inversion**, but the **actual stock market crash often happens when the curve reverts (flips back to upward sloping)** as markets price in severe slowdown and rate cuts.  
**Inversion:**

- Signals trouble ahead but markets don't usually crash immediately.
- Investors often stay risk-on while hoping for a soft landing.

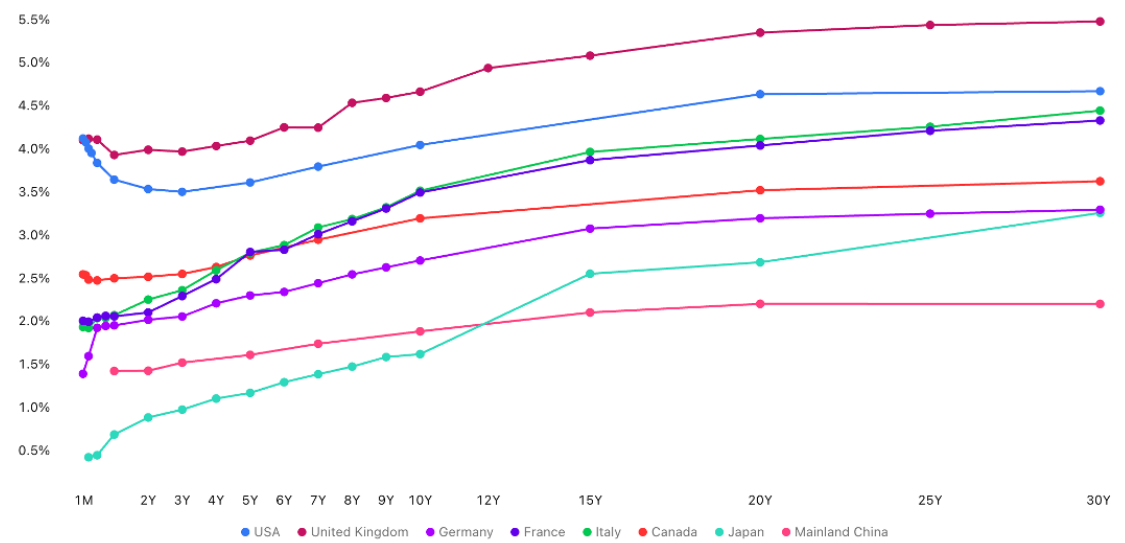
**Reversion:**

- This usually happens because the Fed cuts short-term rates aggressively as growth collapses.
- Historically, equities tend to crash during the reversion, when reality of recession sets in.

**Yield Curve Interpretation:**

The US yield curve has been inverted since 2023, signaling that investors expect

| Recession                         | Yield Curve Inverts | Market Crash / Recession Starts      | Lag        |
|-----------------------------------|---------------------|--------------------------------------|------------|
| Dot-Com Bubble (2000)             | Aug 2000            | Mar 2001 recession officially begins | ~7 months  |
| Global Financial Crisis (2007-08) | Jun 2006            | Dec 2007 recession begins            | ~18 months |
| COVID Crash (2020)                | Aug 2019            | Mar 2020                             | ~7 months  |



slower growth and future rate cuts. As seen previously, recessions tend to occur 6–18 months after the initial inversion with stock market crashes often happening during the reversion phase (when the curve steepens back up as the Fed cuts rates). As of September 2025 the curve remains inverted but it is narrowing. This suggests that while a crash hasn't occurred yet, risks are still rising and markets are watching closely for signs of a shift from inversion to reversion.

### ***Stock Market Indexes (S&P 500, Nasdaq)***

- The S&P 500 tracks 500 of the largest US companies, weighting each firm according to size (market cap) to give a broad view of the US market. The NASDAQ 100 is a tech-heavy index focused on innovation and growth companies.
  - These indexes act as real-time reflections of investor sentiment and economic expectations. They move ahead of the real economy because they reflect where investors think earnings and growth are going not just their current conditions.
  - Rising indexes optimism about future growth risk on environment
  - Falling indexes fear, lower risk appetite risk off environment

Pros:

- Real-time and highly visible, forward looking, reacts before GDP
- Reflect future expectations, global sentiment rather than just current conditions.

Cons:

- Can diverge from the real economy due to speculation or policy support.
- Concentration risk (e.g., AI megacaps driving index performance).
- Sentiment overreaction can cause bubbles

### *Oil Prices*

- Measures the cost of energy and almost any critical input for the global economy.
  - Rising oil = inflationary pressure central banks may tighten.
  - Falling oil = signals weak demand growth concerns.

Pros:

- Real-time market signal.
- Strong link to inflation and geopolitical risks.

Cons:

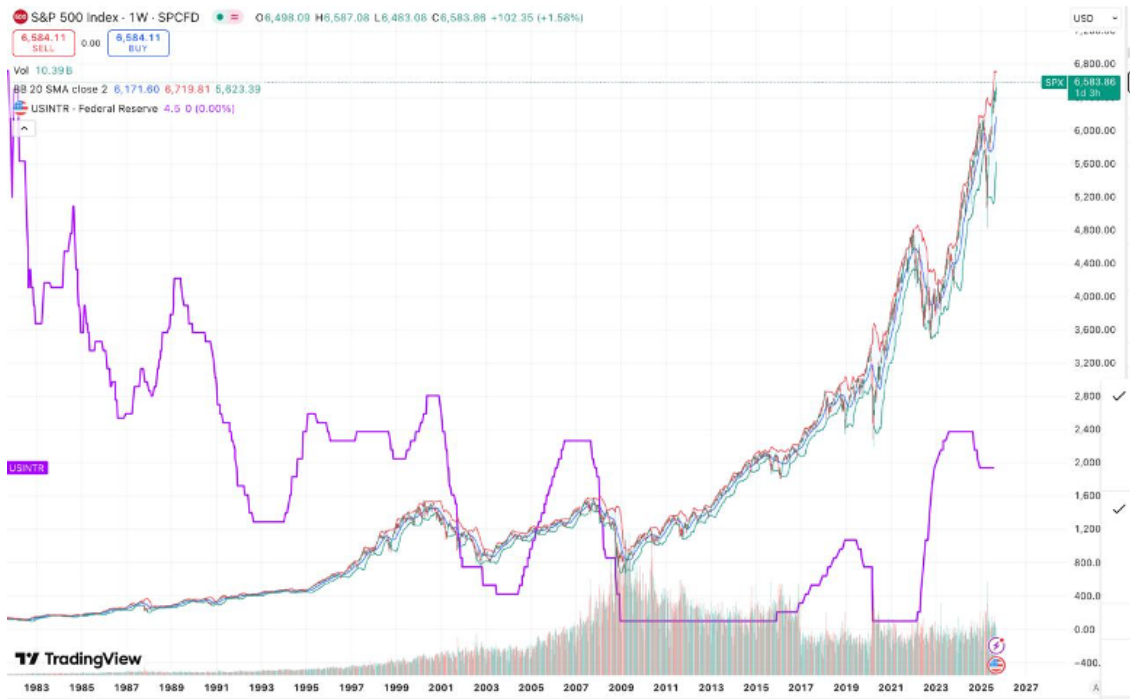
- Excessively volatile due to geopolitical shocks or supply disruptions.
- short-term noise can cloud longer-term trends.

### **Why is this important?**

Macro sets the tone for all markets:

- The global economy moves in cycles of growth and contractions, which are shaped by factors like interest rates, inflation, government policy, money supply and geopolitical events
- When economies are **strong** and money/ borrowing is cheap (low interest rates, cost of cap is lower DCF calc effected, stocks premium better outlook), investors tend to take on more risk, buying stocks, real estate and speculative assets (say crypto)
- When economies are slow and borrowing costs rise (high interest rates), investors pull back and move to safer assets like cash, bonds (fixed income)
- Safe havens like gold have historically been a secure asset to turn to in time of uncertainty and geopolitical tension.





## Liquidity as a fuel:

Central banks like the Federal Reserve (US CB), European Central Bank (ECB), or Bank of England have two main monetary policy tools:

1. Interest rates – Raising or lowering short-term rates to influence borrowing and spending.

- **Raising IR:** Increasing the cost of borrowing, discouraging lending and spending
- **Lowering IR:** Lowering the cost of borrowing, encouraging lending and spending

2. Balance Sheet Tools (**QE/QT**) – Buying or selling assets to directly inject or remove liquidity from the financial system.

- **Quantitative Easing** is when a central bank creates new money electronically to buy financial assets, like government bonds or mortgage backed securities, to inject liquidity into the economy.
- **Goal:** Stimulate economy during recessions or crisis.

### Effects:

- Injects liquidity more money in the system/circulation
- Increases demand for bonds raising bond price pushes yields down borrowing becomes cheaper
- Investors move into riskier assets like stocks and real estate

- Boosts growth and inflation
- **Quantitative Tightening** is the reverse of QE. The Fed/Central Bank reduces its balance sheet by selling assets or letting bonds mature without reinvesting thus draining liquidity from the economy.
- **Goal:** It is a restrictive tool used to cool down the economy and fight high inflation
  - Reduces the money supply less cash in markets
  - Bond supply increases bond prices reduce forcing higher yields borrowing becomes more expensive
  - Stocks and risk assets typically fall
  - Slows growth and inflation

If we try to think of liquidity as a tide:

- **High tide** (easy money) lifts all boats markets rise together.
- **Low tide** (tight money) exposes the rocks weak, risky assets usually sink first

Why this matters for crypto currencies and markets:

- When central banks ease (low rates, QE), borrowing is cheap → investors chase risk → BTC and altcoins rally.
- When they tighten (high rates, QT), capital retreats → crypto crashes.

BTC = Digital Beta: Bitcoin behaves like a high-risk high-volatility tech stock rather like gold of a safe-haven asset

- Beta  $\beta$  is effectively a correlation coefficient for market movements, it measures the sensitivity to movements in the overall market. For example, if a stock/company share price has a Beta of 1 in its CAPM (capital asset pricing model), this means it moves directly in line with the market (in theory) and carries average risk. Thus, it is the same volatility as said market. The same intuition applies for  $\beta > 1$  or  $\beta < 1$ .
- Moves like high-growth tech stocks, not digital gold.
- Correlated with equities during risk-on phases and sells off during crises.
- When markets rally (risk-on), BTC tends to rise faster than equities
- When markets sell off (risk-off), BTC falls harder, often leading the downturn
- 2020-2021 QE cycle BTC rallied >1000% while S&P 500 rose 90%
- 2022 tightening BTC fell 77%, far more than most stocks

Global growth, inflation, and policy decisions dictate crypto cycles far more than individual project news. Understanding macro conditions lets you anticipate the left- or right-translated cycle and position ahead of the crowd.

### Left-Translated Cycle

- Peak happens early in the cycle
- Bearish signal – weakness dominates
- The decline lasts longer than the rise
  - Prices rise quickly but cannot sharp drop follows
  - Suggests a downtrend or topping market

### Right-Translated Cycle

- Peak happens late in the cycle
- Bullish signal – strength dominates
- The rise lasts longer than the declines
  - Uptrend is strong and sustainable
  - Pullbacks are short lived



Figure 9: Ignore blue dashed lines they are wrong

- In 2025, crypto has evolved into an **integral part of global finance**:
  - Institutional ETFs have brought **billions of dollars** into BTC and ETH.
  - Stablecoins like USDT and USDC act as “**crypto dollars**”, powering on
  - chain liquidity and cross border transactions.
  - Regulators like the SEC, ECB, and MiCA framework treat crypto as a mainstream financial product.



Figure 10: BTC vs S&P 500 correlation, 2020–2025

## US Macro & Policy

### Trump’s Attack on the Federal Reserve

- Trump attempted to remove Lisa Cook (economist on the Board of Governors of the US Federal Reserve)
  - He accused Cook of fraud related to mortgage residency claims but a federal judge blocked the firing, framing it as a *fight over fed independence*.
  - Cook sued Trump, the Board and Jerome Powell, asking for the removal to be declared unlawful.
- Trump has also had negative interactions with the chairman of the Fed Jerome Powell

- Trump publicly pressured Powell to cut rates aggressively (toward 1%) and at times threatened to fire or replace him, undermining the Fed’s credibility. This is partially due to weak hiring data in May 2025 where private employers added only 37,000 jobs, far below forecast of 110,000
  - \* However, this may not be as concerning as it initially seems. “Ok, Doomer” podcast talks about political pressure on statistical bureaus (e.g., accusations of bias or manipulation), which means some of the focus may be on trust of data rather than just raw numbers. That tends to reduce how aggressively markets / policymakers react to one weak report.
- Fed somewhat expected to lower IR by 25 BPS to approximately 4.1% in its upcoming meeting but this is speculative and internal disagreement exists.

#### Market impact:

- The Fed’s credibility rests on being apolitical and a body that makes decisions purely based on economic data and the well-being of the nation.
  - Trump’s attempt to fire Lisa Cook and publicly pressure Powell signals direct political interference in monetary policy. Ultimately weakening the Fed’s credibility.
  - If markets believe the rate decisions are politically motivated, trust in the Fed’s ability to control inflation collapses and adds volatility to global bond and equity markets with spillovers to crypto via potentially tighter liquidity.
  - Trust in dollar as a reserve currency/ safe haven asset begins to dwindle

#### Bond Vigilante Response

- **Bond vigilantes** are investors who sell Treasuries to protect reckless policy or loss of independence
- Since Trump undermined the Fed
- They dump long-term Treasuries 10-year yield spike
- Higher yields tighten financial conditions housing is hit as well as corporate borrowing and valuations
- Equity markets reprice lower as discount rates rise. This dynamic can eventually spiral if deficits are also ballooning under the Big Beautiful Bill

**Trump’s Tariffs** Trump’s tariff policy is one of the three pillars of his **economic strategy**, alongside tax cuts and reduced government spending. Tariffs are currently set at **15% across a wide range of imports**, targeting sectors like technology, pharmaceuticals, and semiconductors.

- Inflation Impact

- Frontloading delay where companies import good early to avoid tariffs means inflation is initially muted
- There is a delayed shock as inventories run down and real costs begin to hit consumers, pushing purchase prices up just as the Fed considers rate cuts
- This results in the Fed being trapped and the inability to cut rates aggressively without risking runaway inflation tighter liquidity
- Market Impact
  - Corporate costs rise as higher input expenses squeeze margins lower earnings and valuations
  - Companies begin to lay off employee, cutting jobs to offset higher costs, this is worsened by Trump’s immigration policies unemployment rises and consumer demand weakens

Tariffs  $\uparrow$   $\rightarrow$  Inflation  $\uparrow$   $\rightarrow$  Fed stuck Corporate profits  $\downarrow$   $\rightarrow$  Layoffs  $\uparrow$  Stocks fall  
 $\rightarrow$  **Liquidity drains  $\rightarrow$  Crypto crashes harder**

**The Big Beautiful Bill or One Big Beautiful Bill Act (OBBBA)** The BBB is one of Trump’s core economic policies and a key pillar of his three-stool plan:

- This was a sweeping tax and spending law that expands on the 2017 tax cuts, adds new tax relief (e.g. “no tax on tips and overtime), combines with broader tariffs and only limited offsetting cuts. It cleared the Senate in late June/early July and was enacted around the July 4 window.

Important Figures

- Deficit impact:
  - Congressional Budget Office (CBO)’s official scoring puts the law at \$3.4 trillion added to deficits over 2025-2034 (dynamic estimate). Bloomberg and FT report the same order of magnitude (greater than \$3tn).
- Drivers:
  - Roughly \$4.5tn lower revenues and around \$1.1-1.2tn lower spending over the decade vs baseline ( so larger net deficits).
- Interest costs:
  - CBO analysis (al so relayed by Bloomberg/policy briefs) flags hundreds of billions in extra net interest over 10 years due to higher borrowing needs.
- Tariffs caveat:
  - CBO also estimates that Trump’s tariffs could reduce deficits by up to \$4tn (via increased revenue) which partly offsets the tax cuts. However, this is conditional on tariff scope, persistence and economic drag.

## Other Market Movers

- Permanent/extended tax relief
  - Extends most TCJA (Tax Cuts and Jobs Act) individual and estate provisions, essentially keeps lower rate brackets and other 2017 cuts beyond 2025.
  - State and Local Tax cap raised to \$40,000 (previously \$10,000 for a limited window, Republican negotiators framed it as a 5
  - year deal
  - “N
  - tax on tips” and overtime deductions up to \$25,000 of tips per filer and a capped overtime deduction (2025
  - 2028).
  - 100% bonus depreciation restored for equipment/factory investment
- Program cuts/rewrites + higher defence and immigration spend
  - Medicaid cut \$1tn over 10 years, SNAP (food stamps) cut \$186bn, new work requirements shift admin costs to states. CB
  - expects 10m fewer insured and 2.4m fewer SNAP participants per month over time.
  - Senate deal added a \$50bn rural
  - hospital fund to soften Medicaid cuts.
  - Defence and border enforcement up (DHS plus border
  - tech outlays including surveillance were further developed)

### Market Implications and Sector Winners

- Defence/border-tech (primes and data analytics vendors) benefit from higher security spending (e.g. Palantir).
- Capital-intensive manufacturing gains from 100% expensing. This allows companies write off the full cost of new machines and equipment immediately instead of spreading the deduction across many years.
- Traditional energy and PE also benefit since the policy favours oil and gas (conventional power) more than renewables.

Quick macro read-through: larger net tax relief + spending shifts = **bigger deficits** and **heavier Treasury issuance**, which markets often translate into **higher long-end yields** and a **higher term premium**, even if near-term growth gets a fiscal bump. Worsening deficit and interest payments will further cause bond vigilantes to act causing higher yields. Over time, as Ray Dalio warns, this dynamic risks triggering a **debt death spiral**, where ever-increasing debt and interest costs feed on each other, forcing either aggressive monetary debasement, painful restructuring, or default, with severe consequences for growth and market stability.

- A debt spiral is like **using a credit card to pay off another credit card**, meaning that the more you borrow, the more your interest grows, until eventually you can't keep up and the whole system collapses.

## AI Overvaluation Fear – Return on Investment & Bubble Risks

- MIT “GenAI Divide” Findings:
  - Investment in AI (especially generative AI) has reached US\$30-40 billion globally among enterprises.
  - Of public AI deployments studied (300), 95% report zero-measurable P&L (profit-and-loss) impact. Only about 5% of companies are seeing real business transformation.
  - The failures are often due to misalignment with workflow, inability of models to scale or generalize, or the fact that internal operational/practical hurdles (not lack of ambition) matter more than model architecture.
- Resemblance to Dot-Com Bubble:
  - In the late 1990s/2000, huge capital poured into internet startups whose revenues or profits were often minimal. Similarly, today many AI projects are heavily hyped, but real bottom-line impact is weak or delayed.
  - Many AI tools are adopted for “nice-to-have” features (marketing, demos) rather than core business functions. That's like early web companies that sold promises rather than profits.
  - During the Dot Com bubble, many companies had **little to no profits**, relying purely on future growth promises, whereas today's leading AI companies like Microsoft, Nvidia, and Alphabet actually **generate massive, consistent earnings**, meaning valuations are supported by real cash flows rather than just hype.
- Risks if Overvaluation Corrects:
  - Large-cap tech / AI names often carry heavy weight in indices; if they correct, they drag the broader market.
  - Investor sentiment may swing fast when reports like the MIT one become undeniable (reality check).
  - Capital flow reversals: funds move out of tech/AI toward defensive sectors or into cash.

## UK Gilt Market – Sensitivity & Vulnerabilities

- Current Yield Levels:
  - UK gilt yields have surged. As of early 2025 data: 10-year gilt yields have been roughly 4.8%, 30-year gilts exceeding 5.5-5.7%, reaching levels we have not seen since the late 1990s.



| Metric                                           | Dot-Com Bubble / Around 2000                                                                                                                                                | AI / Tech Today (2024-25)                                                                                                                                                                                                                                                                                                                                                                                         |
|--------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Peak Forward P/E, Broad Market / Tech</b>     | During the dot.com boom many tech/internet firms traded at insanely high P/Es. For example: <i>Nasdaq 100</i> peak <b>well over 200x</b> estimated earnings in some cases.  | Many tech/AI-leveraged firms are now in the <b>20-30x forward P/E</b> range for the broader market. For instance, the S&P 500 Information Technology sector's forward P/E is about <b>30.5x</b> .                                                                                                                                                                                                                 |
| <b>Relative Spread Above Historical Averages</b> | The multiples during 1999-2000 were wildly above average which was often double/triple their norms. Many stocks assumed future growth without profits/plausible cash flows. | Tech/AI valuations are elevated relative to 5- or 10-year averages (e.g. S&P 500 forward P/E is above its 5- and 10-year averages of ~19–20x). But they are not as drastic as <i>double</i> those averages; the spread is much narrower.                                                                                                                                                                          |
| <b>Extreme Valuation Outliers</b>                | Some individual stocks had absurd forward P/Es (Cisco, etc.) in 1999-2000, well over <b>100x</b> in many cases.                                                             | There <i>are</i> niche names in AI/trailing-edge growth with high multiples, but they're a smaller part of the market; many "Magnificent Seven" or AI infrastructure names trade at multiples more in the <b>30-50x forward P/E</b> range, not 100x+. And for many names, forward P/E is <b>much lower</b> . (E.g. some software/tech ETFs or stocks in the space are trading at ~20-30x or sometimes even less). |

- For example, on 3 September, 10-yr gilts surpassed 4.8% and 30-yr gilts exceeded 5.7%.
- Why Yields Are so Sensitive:
  - UK is not a reserve currency economy which means less margin for error in terms of external credibility.
  - Fiscal position is under pressure: high debt, budget deficits, inflation is sticky. Investors demand higher yield to compensate for risk.
  - Supply/demand imbalances: government issuing more gilts while some domestic and foreign buyers are more cautious.
- Spillover from U.S. Fiscal / Rate Risks:
  - U.S. bond market disruption (e.g. from rising yields because of deficits or Fed independence concerns) tends to ripple outward. Matched or even amplified in markets like the UK.

- Rising U.S. yields often pull up UK yields via global fixed income linkages and because international investors require risk premiums.
- Consequences for the UK Government & Economy:
  - Higher borrowing costs worsen deficit and debt burdens.
  - Pressure to raise taxes or cut spending, risking political and economic backlash.
  - Higher mortgage and corporate borrowing rates ripple through the economy → slows growth.

### Germany's defence surge: growth impulse & industrial rebuild

- Scale & path:
  - Germany spent around 90.6bn EUR which is approximately 2.1% of their GDP in 2024 with plans to step up toward 3.5% of GDP by 2029. This was financed via the €100bn *Sondervermögen*(2025–27) plus newly loosened borrowing rules that allow hundreds of billions more for defence and infrastructure. Annual outlays are guided to rise from 95bn EUR (2025) to 160bn EUR (2029).
- EU-wide industrial push:
  - The **European Defence Industrial Strategy (EDIS, 2024)** aims to significantly grow Europe's capacity to produce **munitions, missile defence systems, ships, and land vehicles** by 2035. It focuses on **joint procurement** and **quicker production scaling**, creating a sustained wave of defence investment across Europe over many years.
- Macro channel:
  - Defence capital expenditure is front loaded (happens at the start) + domestically biased and has high local value additions. This translates into positive multiplier effects for engineering, electronics, shipyards, and dual-use tech like GPS, satellite, cyber etc. (al so stabilises order books through the cycle).
    - \* Germany's borrowing to fund this is rising materially, which can pressure Bund term premia (**extra yield that investors demand for holding long-term German Bund government bonds** instead of rolling over a series of short-term bonds).

### Can the EU become a “capital-raising substitute” for the US?

- What's changing:
  - The EU is pushing the Capital Markets Union (CMU) harder since most 2015 reforms have been enacted, but fragmentation seems to be persisting. 2024–25 plans focus on the following things:

- \* **A consolidated tape** for stocks and bonds will **combine price and trading data from all exchanges** into one feed (under the Markets in Financial Instruments Regulation, or MiFIR). This makes markets clearer and easier to trade, **improving liquidity and helping trades happen faster and at better prices.**
- \* Listing/IPsimplification (the “Listing Act”) and retailinvestor measures (to grow equity culture/pension allocations). (Council/Commission stress further deepening is still needed.)
- What it means:
  - Better market plumbing + simpler listings should lower cost of capital and improve secondary-market depth. But the US retains major structural edges (scale, pension/insurance equity allocations, analyst coverage, sector mix).
  - **Conclusion:** the EU can narrow the gap and become more competitive for listings and bond issuance, but fully substituting US market depth will understandably take time and consistent policy follow-through.

## Geopolitics

### 1) Ukraine–Russia: energy war spilling into oil

- Drone strikes on Russian oil: Ukraine has escalated attacks on refineries, export terminals (e.g., Primorsk/Usto Luga) and pipelines (e.g., Druzhba). Reuters/Bloomberg reports indicate outages have hit 17% of Russia’s refining capacity at various points which pushes Russia to raise crude exports from western ports as domestic refining is impaired. This shifts product balances and adds event risk premia.
- Macro channel: periodic upside risk to diesel/gasoline cracks and headline CPI; adds volatility to break evens and Fed/ECB cut expectations.

### 2) Middle East/Red Sea: shipping & oil risk persist

- Red Sea attacks: Yemen’s Houthis have resumed missile/drone strikes on merchant shipping (incl. a claimed hit near Yanbu), keeping freight/insurance premia elevated and route diversions in play. This periodically tightens product markets and extends delivery times. Saudi Arabia has also publicly condemned Israel for Qatar strikes and vows and declared full solidarity with Qatar.
  - Small note on Saudi Arabia, their recent IPO’s have underperformed with current share prices of companies being below the share price at time of IPO. This combined with geopolitical tensions in the middle east and fluctuating oil prices has slightly halted their 2030 vision.
- Gaza/Lebanon: Renewed Gaza escalation with regional diplomatic unrest raises tail-risk for wider disruption; markets watch for any spillover that touches production/export nodes.

- Macro channel: higher logistics and energy costs can re-inflate goods CPI and delay policy easing in US/EU.

### 3) OPEC+: supply policy has turned (at the margin)

- Output increase: OPEC+ agreed on 7 Sept to begin unwinding cuts, with a 137 kb/d rise flagged for October as part of a staged return of prior reductions; the alliance still has 2 mb/d of cuts in place after this tranche. Markets read the move as measured, aimed at reclaiming market share without swamping prices.
- Macro channel: incremental supply tempers price spikes from geopolitics, helping keep Brent contained unless disruptions intensify.

### 4) Price context & balances

- Brent has been trading in the mid-\$60s recently (up from the April low near \$58), with the IEA flagging a likely higher surplus into 2026 given OPEC+ additions and non-OPEC growth, partly offset by Russia risks and China buying. Net effect: prices steady but headline-risk sensitive.

## **In Summary:**

### **Key Macro Indicators**

Current macro data suggests we are still in a right-translated cycle though it does seem like a late-stage one. US GDP growth is strong at 3.3% in Q2 2025, while UK growth lags at just 0.3% which shows a clear divergence between the two economies. PMI figures are slightly below the expansion threshold with the US at 48.7 and the UK at 47, indicating a cooling in business sentiment but not a full contraction. The labour market remains resilient with US unemployment at 4.3% and UK unemployment at 4.7%, levels that are historically consistent with a late-stage expansion and nothing too concerning. However, inflation remains a slight worry, with US CPI at 3.24% and UK CPI at 1.39%, but much of the recent spike is driven by tariffs which the Fed views as transitory rather than structural (we should see these levels dwindle relatively soon). Together, these figures suggest that while growth momentum is slowing, there is still underlying strength in the economy which are classic marks of a right-translated cycle where the rise has lasted longer than previous declines.

### **Yield Curve Signals**

The US yield curve has been inverted since 2023, signalling that investors expect slower growth and future rate cuts. As of September 2025 the curve remains inverted but is narrowing, potentially showing that we are likely approaching a tipping point. Historically, recessions occur 6–18 months after the initial inversion, but the actual market crash tends to occur during reversion as in when the curve steepens back upward as the Fed cuts rates aggressively as a reaction to fight a collapsing economy. The current situation replicates the final phase of past right-translated cycles where markets remain risk-on while hoping for a soft landing, but cracks may be starting

to show. If the curve fully reverts, it would mark the transition into a left-translated meaning bearish phase with heightened crash risk.

### **Crypto and Risk Assets Context**

From what we can infer, Crypto markets (and Bitcoin in particular), are behaving like high-beta risk assets closely correlated with equities. During the 2020–2021 period of quantitative easing, Bitcoin surged over 1,000% while the S&P 500 rose roughly 90%. Conversely, Bitcoin fell by 77%, far more than most equities during the 2022 tightening cycle. At present, institutional ETFs are bringing billions into crypto and liquidity conditions are stable, which has supported a rally. This behaviour is consistent with a right-translated environment where risk assets outperform during extended expansions. As long as borrowing remains relatively cheap and investors are willing to chase returns, crypto and tech-heavy equity indices should continue rallying. However, if liquidity tightens or a yield curve reversion triggers a risk-off shift, these assets would be among the first to crash sharply.

### **Political and Policy Wildcards**

The political landscape introduces significant uncertainty. Trump’s aggressive tariff policies are pushing up import costs but the inflationary effects are delayed, meaning they have yet to fully filter into consumer prices. This complicates the Fed’s position because cutting rates too early risks encouraging runaway inflation, while staying tight risks slowing growth too suddenly. What makes matters worse is Trump’s open conflict with Fed leadership, including attempts to fire Lisa Cook and publicly pressure Jerome Powell to cut rates. Such actions undermine the Fed’s credibility and could erode trust in the dollar as a reserve currency. Meanwhile, Trump’s “Big Beautiful Bill” combines sweeping tax cuts with higher spending, inflating deficits by an estimated \$3.4 trillion over the next decade. While this stimulus boosts near-term growth, it does also raises long-term risks of a debt death spiral, where rising interest payments feed on themselves driving yields higher threatening financial stability. Bond vigilantes are already responding, pushing long-end Treasury yields up as they demand compensation for higher fiscal risk. These dynamics create a volatile environment where political decisions could rapidly shift market sentiment. Not to mention the ongoing conflicts between Russia and Ukraine, as well as the Middle East, putting constant pressure on oil prices and boosting overall uncertainty.

### **Most Likely Path Forward**

The most likely scenario is that the economy remains in a late right-translated cycle phase through the remainder of 2025. Growth will hopefully stay positive, supported by fiscal stimulus and a fairly strong labour market, while risk assets continue to perform well. However, the narrowing yield curve suggests we are moving closer to a transition point. If tariffs begin to significantly raise inflation while growth simultaneously slows, then the Fed could be forced into a difficult position and ultimately trigger a reversion in the yield curve. This would likely

coincide with a sharp equity and crypto market sell-off as reality catches up to investor expectations.

| Date                           | Action / Announcement                                                                                           | Effective / Enforcement Date                                   | Details / Adjustments                                                                                                                                                         |
|--------------------------------|-----------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Feb 1, 2025</b>             | Trump issues executive order imposing additional tariffs on Canada & Mexico (25%) and China (10%)               | Announced Feb 1; intended to go into effect <b>Feb 4, 2025</b> | White House fact sheet: 25% on most imports from Canada & Mexico; energy resources from Canada at 10%; <u>also</u> a 10% tariff on China. ( <a href="#">The White House</a> ) |
| <b>Feb 4, 2025</b>             | Pause on tariffs for Canada & Mexico                                                                            | Tariffs delayed for 30 days; many exemptions considered        | To allow negotiations, exemptions for USMCA-compliant goods etc.                                                                                                              |
| <b>Feb 27, 2025</b>            | Trump confirms tariffs on Canada & Mexico to go into effect March 4                                             | Effective <b>March 4, 2025</b>                                 | Delay ends; 25% on Canadian & Mexican imports, 10% on China.                                                                                                                  |
| <b>Mar 4, 2025</b>             | Many of the Feb 1 announced tariffs become active                                                               | March 4                                                        | This includes the 25% tariffs on Canadian and Mexican goods, and the 10% tariff on China.                                                                                     |
| <b>Mar 12, 2025</b>            | U.S. imposes 25% tariffs on steel and <u>aluminum</u> goods from Canada and others under Section 232            | Effective Mar 12, 2025                                         | Canada responds with retaliatory tariffs totaling C\$29.8 billion on U.S. goods (steel, <u>aluminum</u> , consumer goods etc).                                                |
| <b>April 3, 2025</b>           | 25% U.S. tariff on imported autos becomes effective; auto parts follow later                                    | Autos: April 3; auto-parts: by May 3, 2025                     | Non-US content in autos & parts that don't meet USMCA rules are targeted.                                                                                                     |
| <b>July 31, 2025</b>           | Canada removes retaliatory tariffs on U.S. goods that are USMCA-compliant; other sectoral retaliations continue | Removal effective September 1, 2025                            | Canada lifts many surtaxes but keeps tariffs on steel, <u>aluminum</u> , autos etc.                                                                                           |
| <b>September 1, 2025</b>       | Retaliatory tariffs by Canada against U.S. removed for USMCA-compliant goods                                    | September 1, 2025                                              | For goods that meet origin requirements under the trade agreement, the surtaxes are lifted; non-compliant goods still face tariffs.                                           |
| <b>Ongoing Legal Challenge</b> | Legal disputes about the President's authority (using IEEPA) to impose broad global tariffs                     | Court rulings in 2025, Supreme Court set to decide in Nov 2025 | Lower courts have said the use of IEEPA for sweeping tariff power may exceed authority.                                                                                       |